

PITCH — CVV — VERDICT

ADJUDICATED 2026-09-16 — REJECT — band \$3.40 (conviction 7/10). The court found nothing to own at this price; the reopen gates below are the only path back.

What we believe

CVD Equipment is no longer an equipment company. On September 3, 2026 the board committed to stop taking new system orders, cut the workforce roughly in half, and book a \$0.8–1.0m severance charge; the CEO left the same day (primary: 8-K filed 2026-09-10, accession 0001493152-26-042189). What's left is a debt-free Nasdaq-listed cash box with a Long Island building, a \$3.9m draining backlog, and a spares/quartz/services remnant doing about \$2m a quarter at 17% gross margin.

We believe three things, in order of confidence:

1. **The “melting ice cube” story is factually wrong.** Cash \$23.5m, no long-term debt, total liabilities about \$2.5m — cash is roughly 9x everything the company owes. Book equity \$36.0m = \$5.17/share against a \$4.74 tape. There is no funding cliff and no lender to run from.
2. **But the cheapness is a mirage once you charge for the wind-down.** Take out two years of listed-company carry (~\$5m), the restructuring cash (\$0.8–1.0m), and a 50% haircut on ~\$4.6m of receivables and inventory (–\$2.3m), and realizable value is roughly \$27.8m ≈ **\$4.00/share** — *below* the \$4.74 tape. You are paying about a 19% premium to conservative liquidation value, not an 8% discount to it.
3. **Nothing is scheduled.** The board “continues to evaluate” cost reduction, asset monetization and “potential alternatives involving its real estate assets.” Evaluate is not a signed contract. There is no dissolution plan, no tender, no buyback, no special dividend, and no filed appraisal of the building.

Net belief: **right kind of situation, wrong price, no clock.** We want this name at \$3.40 or below, or with a signed document in hand. Not at \$4.74 on hope.

What the market believes

The market believes almost nothing, because almost nobody is looking. There is no published sell-side consensus for the coming quarter; the only visible “street” number is a vendor-generated forward P/E of 11.4 on a company that just announced it is exiting its business — an artifact, not an opinion. Ten-day average volume is roughly 90–109k shares, about **\$0.45m a day** of notional.

What the tape says: the stock went from about \$7.14 (August 12) to about \$6.42 (September 5) to \$4.74 — roughly a 26% one-day gap on the restructuring news. It sits 47.9% below the 52-week high of \$9.10 and still **60.7% above** the 52-week low of \$2.95. So the market read the news as bad, marked the stock to roughly book-minus-a-bit, and moved on. That is a reasonable, lazy, approximately-correct mark. It is not a mistake we can harvest.

Why we might have edge

- **Nobody is measuring it.** No coverage means the name is unmeasured, which is the *precondition* for edge, not proof of edge. If a filed appraisal, a signed sale contract, or a post-cut expense run-rate shows up, we would be among very few people who had already priced what it means.
- **We have done the frictions arithmetic that both the tape and the original brief skipped.** Both anchored on book value (\$5.17) or net current assets (\$3.69 + property). Charging for carry, severance tails, and asset-recovery haircuts moves fair value about \$1.17/share lower. That is the one genuinely non-consensus number in this file.
- **Two unpriced options exist.** (a) The building: the CFO called the \$10.3m carrying value “a conservative number” on a call, referencing an old sale-leaseback valuation — but he also said he “can’t speak to having multiple valuations,” and no appraisal appears in any filing. (b) Tax attributes: \$12.6m of consolidated net income on the divestiture gain sits against only \$688k of taxes payable, which implies real sheltering attributes. A debt-free Nasdaq cash box with attributes is reverse-merger currency. Neither is in the price, and neither is verified.

Why it might be priced in

Bluntly: it mostly is. At \$4.74 the stock is between our friction-adjusted realizable value (\$4.00) and book (\$5.17). That is exactly where a rational market puts a cash box whose board *might* monetize a building. The entire remaining discount to book is \$0.43/share (~\$3.0m) against corporate carry we estimate at \$2–4m a year (\$0.29–0.58/share) — so the discount self-consumes in roughly **three to twelve months** even if nothing else goes wrong. There is no forced seller, no covenant, no activist on file, and the one catalyst that matters is a governance decision with no deadline attached to it. A prize table that never clears +50% without the building fetching **3.1x** its carrying value is not an edge; it is a fairly-priced stub.

What could go wrong

Failure narrative 1 — The Slow Bleed (highest probability). No sale contract, no dissolution plan. The backlog drains over two to three quarters, revenue falls to spares and quartz, and the retained shell — audit, D&O, exchange fees, an acting CEO plus CFO, and the departed CEO’s base salary through October 2, 2026 *plus a further nine months* — burns \$0.29–0.58/share a year. Every quarter of waiting subtracts from the asset stack we are buying. **Tripwire: monitorable** — quarterly opex and cash on each 10-Q; fires if opex exceeds \$0.7m/quarter or cash falls below \$21m.

Failure narrative 2 — The Building Is Worth Less Than Book. Everything in both prize tables rests on \$10.276m of net PP&E. There is no appraisal in any filed venue. Central Islip is a single-tenant, purpose-built, furnace-heavy industrial property; the buyer pool for that is thin, and a 0.7x-of-book outcome takes realizable value to about \$3.55/share. **Tripwire: partially monitorable** — a filed appraisal, LOI, or PSA would resolve it, but only *after* the fact. There is no leading indicator.

Failure narrative 3 — THE ONE WITH NO TRIPWIRE: the Zombie Shell. The board neither liquidates nor sells; it keeps the listing alive and looks for a reverse merger, an acquisition, or a “new strategic direction,” spending cash on bankers and diligence for two to four years. Holders get no distribution, and the asset stack we underwrote quietly becomes deal currency for someone else’s business at terms we would never have chosen. **There is no monitorable tripwire for this.** No filing is required to *not* do something. “Continues to evaluate” is legally satisfied by doing nothing forever, and we cannot observe intent. **Unknown-unknown class: PRINCIPAL-INTENT OPACITY** — the controlling decision lives in an unobservable private preference (board and insider intent about the shell’s future use), with no disclosure obligation, no periodic report, and no external sensor that can be armed against it. Adjacent unknown-unknown classes we also cannot sensor: **latent-obligation surprise** (warranty and installed-base support after the engineers who built the tools are gone — accrual not isolated in any extract we have; neither bench ran a tool on it) and **governance self-dealing** (comp resets, retention grants, or a related-party transaction that transfers value before any distribution).

The reflexive / structural leg. This is where the position is most likely to hurt us mechanically rather than analytically:

- **Our own size versus liquidity.** \$0.45m/day of notional, 90–109k shares. A 1% book position is multiple days of volume. Our *entry* moves the price we are trying to buy, and our *exit* is worse: in the bad branches (Narratives 2 and 3) the natural holders are also leaving, and a microcap cash box with no catalyst has no bid. Anything above ~10% of daily volume per day means we are the marginal price.
- **Predicted flow works against the reopen band.** The exact conditions that would take the stock to \$3.40 — no monetization, burn confirmed, delisting chatter — are the conditions that thin the book further. We should expect to get filled on our reopen band *only* during the worst liquidity of the cycle, i.e. an adverse-selection fill.
- **Doctrine interaction, and a double-count we must not commit.** Two detectors point at this name at once: `public_shell_carry_burn` (the discount is eaten by listed-company carry faster than the board can realize it) and `friction_adjusted_nlv_gap` (book equity overstates realizable value by 20–30%). **They overlap.** The friction-adjusted NLV already subtracts about two years of carry; charging the annual burn *again* on top of the \$4.00 NLV double-penalizes the same dollars and would make us too bearish, just as anchoring on book made the original brief too bullish. Both benches wrote the two arguments side by side without netting them. Our \$4.00 anchor is the carry-inclusive number; further burn only applies *beyond* two years.
- **Anchoring risk in our own process.** Every number in this file descends from one unaudited-for-fair-value figure: \$10.276m of net PP&E. Anchor-and-adjust on a single load-bearing book number is precisely how both benches produced tables that agreed on direction and disagreed by 29% on level.

If this position loses money, the most likely reason will be that we paid a premium to realizable value for a board that never signs anything — the building never gets monetized, the listed-shell carry quietly eats the remaining book discount while we wait, and we discover our \$10.276m property anchor was a book entry rather than a bid.

What we checked ourselves

claim	how checked	found	conclusion
Tape price is \$4.78 / \$4.785 (both benches)	Recomputed pack rails: 4.74/9.10 and 4.74/2.95 vs pack dd52 -0.479, pct_off_low +0.607	Pack price is \$4.74. The benches' own restated rails (-47.4%, +62%) only reconcile to \$4.785, not to the pack. BOTH BENCHES ERRED — they cited "pack rails" numbers the pack does not contain	NO - correct mark \$33.0 \$33.0
Brief's reopen trigger "net cash + unencumbered property ≥ ~\$33m mcap" was already met (RED)	Rebuilt both ways	Net cash = 23.5 + 0.9 escrow - 2.5 liabilities = \$21.9m (\$3.15/sh); + PP&E \$10.276m = \$32.2m < \$33.0m mcap . Red substituted <i>net current assets</i> \$25.6m (which includes ~\$4.6m AR/inventory) for <i>net cash</i> to make it fire. RED ERRED ; blue's overturn stands	NO - trigger met, \$0.81
SDC divestiture proceeds \$17.4m (RED) vs \$16.9m (BLUE, primary)	Primary Ex-99.1, https://www.sec.gov/Archives/edgar/data/766792/000149315226015505/ex99-1.htm	Primary says approximately \$16.9m in cash, subject to customary purchase price adjustments. RED ERRED (unsourced figure); also date drift 04-01 vs 04-02 between benches	Blue confirmed use of + escrow
Carry burn \$3-4m/yr is CONFIRMED (RED tag)	Checked against filed documents	The <i>post</i> -cut run-rate exists in no filed document. R&D of \$685k/qtr largely disappears in an exited equipment line; interest income on \$23.5m offsets ~\$0.9m/yr. RED MIS-TAGGED a projection as	Down to PLAI band 4m/y (\$0.2 0.58)

claim	how checked	found	concl
		CONFIRMED — by red's own grading rule it cannot carry a verdict alone	
Blue's reopen price "\$3.40 (0.85x net cash + zero property credit)"	Arithmetic	0.85 x net cash \$21.9m = \$2.67/sh, not \$3.40. \$3.40 = 0.85 x friction-adjusted NLV \$27.8m. BLUE'S LABEL IS WRONG ; the level is defensible, the stated basis is not	Level basis related deep \$2.70
Blue prize row "property @0.7x book → \$3.50"	Recomputed from NLV \$27.8m	\$27.8m – 0.3 x \$10.276m = \$24.7m = \$3.55/sh . Minor (~\$0.06) but it is a rounding error in a load-bearing table	Correct \$3.50
Red: "+50% only at ~2.6x property book"	Recomputed on red's own basis (book equity \$36.0m, no frictions)	Needs 2.36x , not 2.6x. On blue's friction basis it needs 3.11x . RED ERRED ; blue's 3.1x is right on blue's inputs	Both restated conclusions — it not correct
Share count	Pack dil_sh (6,867,868 @ 2025-06-30) vs blue's \$12.6m ÷ \$1.81 = 6.96m vs red's implied 6.94m	Converged on ~6.95m ± 1% ; the spread moves market cap ~\$0.3m and per-share values ~\$0.02. Pack XBRL also contains 6.78- billion share artifacts and revenue rows ending 2016 — discarded by both benches, correctly	Estimate not valid — discrepancy use for re-pl 10-Q page
Cash is partly customer money ("whose money is the cash")	10-Q balance sheet	Contract liabilities \$541k, AP \$155k, accrued \$1.06m, taxes payable \$688k. Cash is ~9.3x total liabilities. The bear leg does not exist	Refused drop
Q1 operating cash flow negative every year since 2020 (brief's MELTING support)	Pack XBRL vs 10-Q	Those rows are pre-divestiture consolidated (include the sold SDC) and Q1-only — a staleness/aggregation artifact. Direction	Refused evidence direct retail

claim	how checked	found	concl
		survives on clean data: Q1-26 continuing loss – \$1.7m, Q2-26 –\$1.4m	
A successor CEO was named	Same 8-K + Ex-99.1	Warren Cheesman, VP Manufacturing Operations, appointed Acting CEO. The brief cited a document it had not finished reading — but red overstated impact: the brief's resolver asked for a <i>permanent</i> CEO, which remains open	Both right; resol stays
Detector list integrity	Cross-checked both bench lists against the dispatched set	Red listed bozeman_permits, census_acs, customer_id — not dispatched in this pack — and omitted four that were. RED ERRED (discipline breach); blue's corrected list is the one of record	Blue adop
Is there a SCIENCE BRIEF to digest?	Input inspection	The SCIENCE BRIEF block is empty . Per the rule, the digest section is omitted rather than fabricated. Note: this is a deep-tech-adjacent issuer exiting its deep-tech line, so no brief is defensible here	Conf — se omitt

PROPOSED ENTRY BANDS

The courts say **NO ENTRY**. Current stance: **FLAT**, no orders. What follows are reopen bands, not entries.

Price reopen bands (either one re-courts the name): - \$3.40 or lower — a 15% margin of safety to friction-adjusted NLV ($\$27.8\text{m} / 6.95\text{m} = \4.00). Starter only: **0.5% of book** (~1 day of volume at \$0.45m/day). Honest caveat from our own prize table: EV at this level is only about **+14%**, so \$3.40 alone does *not* earn capital unless paired with an event gate below. - **\$2.70 or lower** — 0.85x net cash (\$21.9m) with **zero credit for the building**. This is the level at which we

own the cash box and get the property, the tax attributes, and the spares business free. EV/entry here is about **+44%**. Add to **1.5% of book**, staged in thirds over five sessions to stay under ~10% of daily volume.

Event reopen gates (need TWO of the following; any two → starter regardless of price up to \$4.50): 1. An 8-K disclosing a **signed** purchase-and-sale agreement, plan of dissolution, tender, or special distribution on 355 South Technology Drive, Central Islip. 2. Q3 10-Q showing post-restructuring quarterly opex **≤ \$0.7m and cash ≥ \$21m** (burn half-life beyond six years). 3. A third-party appraisal or sale-leaseback LOI in a **filed** venue — not a transcript remark. 4. A Schedule 13D carrying an explicit liquidation or capital-return demand.

Trims / exits (if a position ever exists): trim half on any print at or above **\$5.17** (book) absent a signed document; exit entirely on (a) a reverse-merger or S-4 announcement that uses the shell without a cash distribution to holders, or (b) two consecutive quarters of opex above \$1.2m, or (c) cash below \$18m.

Catalyst dates: - **2026-09-30** — quarter in which the \$0.8–1.0m restructuring charge lands (confirmed in the 8-K). - **2026-10-02** — end of the departed CEO's salary-and-benefits period before the nine-month tail begins (confirmed in the 8-K). - **2026-11-10** — expected Q3 10-Q / print. **yfinance-derived, UNCONFIRMED** — no company press release names it; the only PR-confirmed pattern is roughly eight weeks post-quarter. ~40 trading days out, well outside the 5-day window. **PRINT PROXIMITY: far. Pre-print stance: FLAT.** - **~2027-07-02** — expiry of the nine-month severance tail; carry steps down thereafter. - **Undated and decisive:** the governance act. The catalyst that matters here is a signature, not a print.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2.7 (deck-provisional: 0.85x net cash \$21.9m with zero property credit - deep reopen, EV/entry approx +44%)
- filing watch: 8-K until 2027-03-10 (deck-provisional: Items 1.01/2.01 signed PSA, sale or leaseback on 355 South Technology Drive - the decisive catalyst is)
- dated pack CVVI2026-09-30: CVV: quarter in which the \$0.8-1.0m restructuring charge lands per the 8-K (date confirmed=True)
- dated pack CVVI2026-10-02: CVV: end of departed CEO's salary/benefits period; nine-month severance tail begins (date confirmed=True)
- dated pack CVVI2026-11-10: CVV: expected Q3 10-Q / print - yfinance-derived, no company PR names it; ~40 trading days out, pre-print stance FLAT (date confirmed=False)
- dated pack CVVI2027-07-02: CVV: expiry of the nine-month CEO severance tail; corporate carry steps down (date confirmed=False)

What remains unverified

1. **Fair market value of 355 South Technology Drive.** No appraisal in any filed venue. The CFO called \$10.276m net PP&E “a conservative number” on a call while conceding he “can’t speak to having multiple valuations.” Every number in every prize table hangs on this. *Not drainable now.* **Estimate: \$9–16m (0.9–1.6x book); $p(\geq 1.3x \text{ book}) \approx 0.35$** — basis: single-tenant purpose-built Long Island industrial comps plus the sale-leaseback reference in the transcript.
2. **Post-restructuring quarterly opex run-rate.** Pre-cut was \$1.89m/quarter (R&D \$685k, selling \$232k, G&A \$971k) against \$329k gross profit. The post-50%-cut figure exists in no filed document. *Drainable 2026-11-10 (10-Q).* **Estimate: \$0.9–1.3m/quarter; $p \approx 0.6$** — basis: half of direct labor removed, R&D→~0 in an exited line, but listed-company fixed carry and severance tails are sticky.
3. **NOL and deferred-tax-attribute quantum.** \$12.6m of consolidated net income against \$688k taxes payable implies real attributes, but no DTA note is in our extracts. This is reverse-merger currency and is entirely unpriced. *Drainable now (XBRL tax footnote from the 2026-03-30 10-K).* **Estimate: \$8–20m of federal NOL/attributes; $p \approx 0.5$.**
4. **Warranty and installed-base support tail.** The accrual is not isolated in any extract; the engineers who built the installed base are in the 50% cut. Both benches logged this as a coverage gap and neither ran a tool. *Drainable now (ProductWarrantyAccrual XBRL tag / 10-Q rollforward).* **Estimate: \$0.3–0.8m accrued, with real risk of overrun; $p \approx 0.5$.**
5. **Customer concentration of the residual spares/quartz revenue.** With revenue down to ~\$2m/quarter, one customer leaving changes the stub’s character. *Not drainable now (customs-BOL triangulation / customer_id detector never ran).* **Estimate: top customer 25–45% of residual revenue; $p \approx 0.4$** — basis: capital-equipment aftermarket base rates for a single-product-line installed base.
6. **Post-cut headcount.** OSHA establishment data returned 403. *Not drainable now.* **Estimate: 55–75 FTE from ~120–140 pre-cut; $p \approx 0.6$** — basis: the 8-K’s “approximately half” applied to prior-period 10-K employee disclosure.
7. **Board intent and timing on real estate monetization.** “Continues to evaluate” carries zero commitment, and intent is unobservable. This is the PRINCIPAL-INTENT OPACITY item — genuinely private, genuinely time-gated, and without a tripwire. *Not drainable now, ever, until filed.* **Estimate: $p(\text{signed PSA or plan of dissolution filed within 12 months}) \approx 0.30$** — basis: base rate for microcap boards that announce a business-line exit without a concurrent dissolution plan.
8. **SDC escrow (\$0.9m) release terms and purchase-price adjustment.** \$0.13/share and it sits inside our net-cash figure. *Drainable now (10-Q subsequent-events / divestiture note).* **Estimate: 70–100% released by mid-2027; $p \approx 0.7$.**
9. **Whether a listed options chain with real two-sided quotes exists on CVV.** The evidence pack contains no chain. This gates the entire instrument decision below. *Drainable now (IBKR chain pull).* **Estimate: $p(\text{any strike with a quotable midpoint inside 15% of theoretical}) \approx 0.25$** — basis: \$0.45m/day microcaps rarely support a usable chain.

PRIZE TABLE + VOL READ

Anchor-and-adjust. **Anchor = friction-adjusted NLV, \$4.00/share** (equity \$36.0m – ~\$5m two-year carry – \$0.9m restructuring cash – \$2.3m AR/inventory haircut = \$27.8m ÷ 6.95m shares). Adjustments are then made for the property mark and the governance branch. Tape: **\$4.74**. Horizon: 12 months.

#	Scenario	p	Price	p × price
A	Signed PSA or dissolution plan; property fetches 1.3–1.6x book; distributions begin	0.12	\$5.40	0.648
B	Property monetized at about book in an orderly wind-down	0.18	\$4.30	0.774
C	Drift — nothing filed, carry burns ~\$0.40/sh, market holds a discount to NLV	0.35	\$3.60	1.260
D	Shell recycled via reverse merger using the tax attributes, modest premium to cash	0.15	\$4.50	0.675
E	Property at 0.7x book, warranty overrun, protracted carry, widening spreads	0.15	\$2.80	0.420
F	Deep tail — impairment, severance or litigation surprise, no monetization for two years	0.05	\$2.20	0.110

EV = \$3.89 vs \$4.74 tape → **–18%**. At the \$3.40 reopen band: **+14%**. At the \$2.70 band: **+44%**. Table dispersion: **$\sigma_{\text{table}} = \0.84** , i.e. **$\sigma/\text{EV} \approx 21.7\%$ over one year**. The table is **bimodal and fork-dated** on a governance signature: branches A+B+D (45%) cluster at \$4.30–5.40, branches C+E+F (55%) cluster at \$2.20–3.60. There is very little probability mass at the current price. A single-volatility model cannot represent this shape.

Expression math (shown, per mandate). No options chain appears in the evidence pack (open item 9), so the arithmetic below is run against our table and compared to a *hypothetical* chain — it must be re-run on **chain-level midpoint IV and real quotes for the specific strikes** before any order. The TSSI lesson (underlying aggregate feed 71 vs chain-level 101) applies directly: an aggregate IV feed on a \$0.45m/day microcap is not a tradeable number.

- $C_{\text{ours}}(K = 5.00, 12\text{m}) = \sum p_i \times \max(S_i - 5.00, 0) = 0.12 \times 0.40 = \mathbf{\$0.048}$. A 12-month \$5 call at 4.8 cents of fair value is, for practical purposes, worthless on our own numbers. Any real quote above ~\$0.15 is a sale, not a buy.

- $C_{ours}(K = 2.50, 12m) = \1.402 , versus intrinsic of \$2.24 at the \$4.74 spot. Our table says a deep-in-the-money call is worth *less than intrinsic* — which is simply the restatement that our EV sits below spot. Do not own the stock or its delta here.
- $P_{ours}(K = 3.50, 12m) = \sum p_i \times \max(3.50 - S_i, 0) = 0.15 \times 0.70 + 0.05 \times 1.30 = \0.17 , about 4.9% of strike for a year.
- σ_{table} vs $IV \times \sqrt{T}$: our table implies roughly **22% annualized**. Realized volatility on this name is far higher — a single 26% gap day alone annualizes to triple digits, and 30-day RV is plausibly **90–120%** (UNVERIFIED, no bar data in the pack). If a chain existed at, say, 80–100% IV, a 12-month \$3.50 put would carry something like \$0.60–0.80 against our \$0.17 fair value, implying a **VRP of roughly +60 to +80 volatility points**.
- **We refuse that trade, and here is why, stated plainly:** a 4x apparent premium-selling edge on a stub with a 55% probability mass below today's price is far more likely to be evidence that **our table is too narrow** than a free lunch. A scenario table with six discrete points cannot represent a delisting, an impairment, or a 60% single-day gap, all of which are live here. A 22% σ_{table} on a name that just gapped 26% in a day is a modelling artifact, not a volatility forecast. Selling a cash-secured put at \$3.50 would also mean *choosing* assignment at exactly the price where our own reopen band says liquidity has evaporated — an adverse-selection fill dressed up as income.

Instrument recommendation (the output of the arithmetic above): NONE. No stock, no calls, no covered calls, no cash-secured puts. Order of reasoning: (1) EV \$3.89 < tape \$4.74 → no long stock; (2) C_{ours} at every candidate strike is trivial or sub-intrinsic → no calls; (3) no position exists → covered calls are not available; (4) apparent rich VRP is unverifiable with no chain in the pack, and our table is demonstrably too narrow to underwrite short volatility → no CSPs. **If, and only if**, a reopen band fires, the expression is **common stock on limit orders**, staged under 10% of daily volume — because at \$2.70–3.40 the payoff is asset-backed and does not need leverage, and because option liquidity on this name is presumed absent until proven otherwise.

Tax overlay. Treating the current year as a harvest year: any expression must put its **loss branch inside the intended tax year**. A 12-month option struck now expires in Q4 2027 and would **defer the loss branch past December 31**, which disqualifies it during a harvest year unless the edge numerically dominates — and here the edge is *negative* at the tape, so it plainly does not. Common stock has no such problem: if a Q4 reopen band fires and the thesis breaks, the loss can be realized before December 31. This is a second, independent reason the instrument is stock-or-nothing. Any front-month structure crossing the year-end boundary is excluded by rule, not by preference.

Conviction that FLAT is the right position here: 8/10. The residual 2/10 is entirely the property mark — if the Central Islip building is worth 1.6x its carrying value, we are declining a \$5.40 asset at \$4.74. We accept that risk because nobody has put a bid, an appraisal, or a signature behind that number in any filed venue.

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alert; already fired at 4.74 tape, retained verbatim but stale and non-
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adjusted NLV of $4.00/sh ($27.8m / 6.95m sh) - shallow reopen, starter 0.5%
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put to shareholders - converts 'continues to evaluate' into a schedule"},
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direct test of the $10.276m PP&E anchor every prize table rests on"},
{"forms": ["8-K"], "why": "Item 5.02 permanent CEO appointment or further
officer exits - closes the brief's still-open successor resolver (Cheesman is
acting only)"}, {"forms": ["8-K"], "why": "Item 4.01 auditor change or
resignation - pre-wind-down or pre-shell-recycling tell"}, {"forms": ["SC
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by acting CEO, CFO or Chairman - only observable proxy for board intent"},
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K", "confirmed": true}, {"date": "2026-10-02", "what": "end of departed CEO's
salary/benefits period; nine-month severance tail begins", "confirmed":
true}, {"date": "2026-11-10", "what": "expected Q3 10-Q / print - yfinance-
derived, no company PR names it; ~40 trading days out, pre-print stance
FLAT", "confirmed": false}, {"date": "2027-07-02", "what": "expiry of the
nine-month CEO severance tail; corporate carry steps down", "confirmed":
false}], "immediate_entry": null, "unverified": [{"item": "Fair market value
of 355 South Technology Drive; no appraisal in any filed venue, CFO called
$10.276m book 'conservative' but conceded no multiple valuations",
"instrument": "filed appraisal or sale-leaseback LOI in an 8-K; Suffolk
County / Long Island industrial comps walk-around; broker BOV",
"drainable_now": false, "estimate": {"range": "$9-16m (0.9-1.6x net book of
$10.276m)", "basis": "single-tenant purpose-built LI industrial comps + sale-
leaseback reference in Q1-26 transcript", "p": 0.35}}, {"item": "Post-
restructuring quarterly opex run-rate; the post-50%-cut figure exists in no
filed document", "instrument": "Q3 10-Q income statement XBRL pull, 2026-11-
10", "drainable_now": false, "estimate": {"range": "$0.9-1.3m/qtr ($3.6-
5.2m/yr gross, $2-4m/yr net of ~$0.9m interest income)", "basis": "pre-cut
$1.89m/qtr less half of direct labor and R&D-to-zero in an exited line;
listed-shell fixed carry sticky", "p": 0.6}}, {"item": "NOL and deferred-tax-
attribute quantum implied by $12.6m net income against only $688k taxes
payable", "instrument": "XBRL tax footnote pull from 2026-03-30 10-K
(accession 0001493152-26-013567); DTA/valuation-allowance tags",
"drainable_now": true, "estimate": {"range": "$8-20m federal NOL/attributes",
"basis": "gain-sheltering implied by tax payable vs pretax income; microcap
post-divestiture base rate", "p": 0.5}}, {"item": "Warranty and installed-
base support tail after cutting the engineers who built the tools; accrual
not isolated in any extract, both benches left it a COVERAGE GAP",
"instrument": "ProductWarrantyAccrual XBRL tag / 10-Q warranty rollforward,
2026-08-12 filing and 2026-11-10 filing", "drainable_now": true, "estimate":
{"range": "$0.3-0.8m accrued, with overrun risk beyond accrual", "basis":
"capital-equipment warranty base rate of 1-3% of trailing system revenue",
"p": 0.5}}, {"item": "Customer concentration of residual

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spares/quartz/services revenue (~$2m/qtr, now the only revenue)",
"instrument": "customs-BOL triangulation / customer_id detector (never run);
10-K concentration footnote", "drainable_now": false, "estimate": {"range":
"top customer 25-45% of residual revenue", "basis": "capital-equipment
aftermarket concentration base rates for a single installed base", "p":
0.4}}, {"item": "Post-cut headcount; OSHA establishment pre-flight returned
HTTP 403 with zero observations", "instrument": "OSHA establishment search or
NY ES-202 quarterly headcount; 10-K employee count disclosure",
"drainable_now": false, "estimate": {"range": "55-75 FTE (from ~120-140 pre-
cut)", "basis": "8-K 'reducing workforce by approximately half' applied to
prior 10-K employee disclosure", "p": 0.6}}, {"item": "Board intent and
timing on real estate monetization; 'continues to evaluate' carries zero
commitment and intent is unobservable (PRINCIPAL-INTENT OPACITY, no
tripwire)", "instrument": "none until filed - 8-K Item 1.01/2.01 signed PSA
or plan of dissolution is the only observable", "drainable_now": false,
"estimate": {"range": "p(signed PSA or dissolution plan filed within 12
months) = 30%", "basis": "base rate for microcap boards announcing a
business-line exit without a concurrent dissolution plan", "p": 0.3}},
{"item": "SDC escrow $0.9m release terms and purchase-price adjustment
(=$0.13/sh, sits inside our net-cash figure)", "instrument": "10-Q
divestiture/subsequent-events note; 8-K Ex-99.1 of 2026-04-07 (accession
0001493152-26-015505)", "drainable_now": true, "estimate": {"range": "70-100%
released by mid-2027", "basis": "customary PPA holdback release patterns on
strategic asset sales", "p": 0.7}}, {"item": "Whether a listed options chain
with real two-sided quotes exists on CVV; no chain in the evidence pack,
which gates the entire instrument decision", "instrument": "IBKR chain pull -
chain-level midpoint IV and real quotes at K=5.00/3.50/2.50, never the
underlying aggregate IV feed (TSSI 71 vs 101 lesson)", "drainable_now": true,
"estimate": {"range": "p(any strike quotable within 15% of theoretical) =
25%", "basis": "$0.45m/day notional microcaps rarely support a usable chain",
"p": 0.25}}]]}

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ADJUDICATION — 2026-09-16 15:37Z

Friction-adjusted NLV ~\$4.00/sh vs tape (NOVEL); customer-advance leg dead; board “continues to evaluate”.

REOPEN GATES: two of: signed PSA/plan of dissolution on 355 S Technology Dr; Q3 opex ≤\$0.7M with cash ≥\$21M; filed appraisal/LOI; 13D with liquidation demand; price ≤\$3.40